

Moving Average

Indicators & Analysis / Trend | beginner | 4 min read | DeepCharts Help Center | July 15, 2026

The Moving Average is one of the most widely used technical analysis tools. It draws a line on the chart representing the average value of an instrument's prices over a chosen number of periods, smoothing out bar-to-bar noise so the underlying direction is easier to see.

In DeepCharts you can choose which price the average is built from, how many periods it covers, and which averaging formula is used — then style the line and attach alerts to it.

What it is

A moving average answers the question: where has price been trading, on average, over the last N bars? Because each new bar pushes the oldest one out of the calculation, the line "moves" with the market. Traders use it to analyze trends, identify potential price reversals, and create buy or sell signals — for example when price crosses the line, or when a fast average crosses a slow one.

[SCREENSHOT PLACEHOLDER] A candlestick chart with a Moving Average line plotted over price, showing price trending above a rising average; indicator name and value visible in the chart legend `moving-average-on-chart.png`

When to use it

- Reading the direction and strength of a trend at a glance — a rising average under price is an uptrend context, a falling one above price a downtrend context.
- Filtering trade direction: many traders only take longs while price holds above a chosen average.
- Watching for crossovers — price crossing the average, or two averages of different lengths crossing each other.
- Using the line as dynamic support or resistance in trending markets.

Quick start

1. Open a chart — see [Open Your First Chart](#) if you have not yet.
2. Click the bar-chart icon in the chart's top-left icon row to open the **Indicators** panel, then click **Indicators** to open the full **Indicator List**.
3. Search for **Moving Average** and click **+** to add it.
4. Click the gear icon next to the indicator to open its settings.
5. Starter configuration: leave **Input** on Close and **Length** at its default of 21, and pick **Simple** or **Exponential** as the **Type Average**. Adjust the length later to match your timeframe — shorter for faster reaction, longer for smoother trend context.

[SCREENSHOT PLACEHOLDER] Moving Average settings dialog open, showing the Parameters section with Input, Length set to 21 and the Type Average dropdown expanded listing Simple, Exponential, Triangular and Weighted `moving-average-settings.png`

How to read it

- **Slope**: a rising line means the average price is increasing — trend context is up. A flat line means a range; averages produce their worst signals in ranges.
- **Price vs. line**: price holding above the average suggests buyers are in control; repeated closes below it suggest the trend is weakening or reversing.
- **Crossovers**: a shorter average crossing above a longer one is a classic bullish signal, and the reverse bearish. Crossovers lag by design — they confirm a move that has already started.

- **Average type matters:** an Exponential average weights recent prices more heavily and reacts faster than a Simple average of the same length; Triangular is smoothest, Weighted sits in between.

Settings reference

Parameters

Setting	What it does
Input	The price data the average is calculated from: Close, Open, High, Low, or volume. Close is the usual choice; use High/Low for envelope-style studies.
Length	Number of periods in the calculation. Default: 21. Lower it for faster reaction, raise it for smoother, slower trend context.
Type Average	The averaging formula: Simple , Exponential , Triangular , or Weighted . Exponential and Weighted emphasize recent bars; Triangular double-smooths.

Alerts

Setting	What it does
Enable Alert Sound	Plays an audio notification when the alert triggers.
Enable Alert Message	Shows a popup alert message when triggered.
Alert Name	A custom label for the notification, useful when running several alerts at once.

Subgraph

Setting	What it does
Moving Average Color	Color of the plotted line.
Secondary Color	Optional complementary color.
Subgraph Style	How the series is displayed.
Line Style	Line appearance (solid, dashed, and so on).
Line Width	Thickness of the line.
Use Secondary Axis	Plots the indicator on an alternative axis — useful when overlaying series with different scales.

Tips and common mistakes

- **Do not treat one length as universal.** The default 21 is a reasonable starting point, but the "right" length depends on your timeframe and how much smoothing you want — test before relying on it.
- **Ranges generate false crossovers.** In sideways markets price whipsaws across the average constantly; combine the MA with a trend filter such as Average Directional Index (ADX) before acting on crosses.
- **Faster is not always better.** An Exponential average reacts sooner but also produces more noise-driven signals than a Simple average of the same length.
- If the line renders in the wrong place or you want it in its own panel, see [How to Change the Layout of Indicators](#) for arranging chart areas.

Related articles

- [Super Trend](#)
- [Parabolic SAR](#)

- Linear Regression
- Average Directional Index (ADX)
- Different Types of Input Data for Indicators
- How to Change the Layout of Indicators